TOPIC 3 · ECONOMIC ISSUES

CommBank · InvestingLive · ABS
Preview written before the 11:30am release, 28 Oct 2026

CPI day: banks expect inflation to come in above the RBA's forecast

> The ABS releases the September-quarter CPI at **11:30am AEDT today**. All four major banks expect underlying (trimmed mean) inflation of **0.9–1.0%** for the quarter, above the RBA's forecast of **0.8%**. *These are forecasts, so check them against the actual release.*

WHAT HAPPENED

- The banks expect **headline CPI** to rise 1.2–1.3% in the quarter, or about 3.9% over the year.
- **Fuel** rose 14.8% in August, and CBA expects a further 9.8% rise in September. That adds about 0.3 percentage points to the monthly headline figure.
- CBA expects **market services** inflation to rise from 4.1% to 4.3%, a sign that price rises are spreading beyond fuel.
- Annual inflation in **new dwelling** prices is forecast to ease from 5.4% to 4.9%, and rents are running at about 3.5%.
- A 1.0% trimmed mean would be the **fifth quarter in a row** of rises between 0.8% and 1.0%, and annual trimmed mean would stay near 3.6%, above the 2–3% target.

Trimmed mean: CPI with the largest and smallest price changes removed, used as a measure of underlying inflation.
Cost-push inflation: higher production costs passed on as higher prices.

KEY NUMBERS

0.8% — RBA forecast for trimmed mean, Q3

1.0% — CBA, NAB and ANZ forecast for trimmed mean

~3.6% — expected annual trimmed mean

+9.8% — CBA forecast for fuel prices in September

BAR CHART

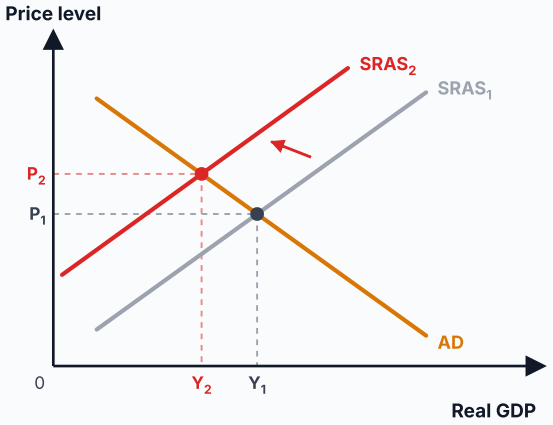
Trimmed-mean CPI for the September quarter: forecasts



Quarterly % change. Sources: InvestingLive, CommBank. The actual figure is released at 11:30am AEDT.

DIAGRAM

A fuel shock is cost-push inflation



Fuel is an input for almost every business. A sharp rise in fuel costs shifts short-run aggregate supply from **$SRAS_1$ to $SRAS_2$**.

The price level rises from **P_1 to P_2** while real output falls from **Y_1 to Y_2**. Higher inflation combined with weaker growth is **stagflation**.

Exam angle: fuel is volatile, so it mostly affects **headline** CPI. If the **trimmed mean** also comes in high, inflation is broad-based (second-round effects through market services). That is what the RBA watches most closely.

SYLLABUS LINK

Topic 3 – **Inflation**: measurement (headline CPI and underlying measures) and causes (cost-push and demand-pull).

TRY THIS

Distinguish between headline and underlying inflation. Explain why the RBA focuses on underlying measures when setting the cash rate. **(4 marks)**

CommBank: https://www.commbank.com.au/articles/newsroom/2026/10/inflation-cpi-rba-interest-rates-november.html
InvestingLive: https://investinglive.com/news/australia-cpi-preview-banks-see-1-0-core-rise-above-the-rba-s-0-8-forecast/
ABS CPI: https://www.abs.gov.au/statistics/economy/price-indexes-and-inflation/consumer-price-index-australia

Diagrams are illustrative, not to scale